not address concerns about a single point of failure.[891] One commenter stated that introducing competing consolidators would, in fact, introduce multiple opportunities of failure.[892] This commenter said that a competing consolidator with "a significant customer base" could even cause market-wide trading halts if it had system problems and urged caution in making any changes that could "imperil the resiliency of the U.S. equities market."[893] Another commenter said that competing consolidators would continue the risk of a single point of failure because customers of a single competing consolidator that failed would lose access to its consolidated market data, and unlike when an exclusive SIP fails and impacts all market participants, only customers of the competing consolidator would be disadvantaged.[894] To mitigate the risk of failure, the commenter said that subscribers would have to subscribe to at least two competing consolidators and incur the costs of doing so.[895] This commenter stated that the Commission did not provide evidence to support its conclusion that the proposed decentralized consolidation

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use of slower, reliable consolidated market data feeds to ensure reliability of such feeds. See NBIM Letter at 6. Competing consolidators will be required to comply with operational capability and resiliency obligations to help ensure that the provision of proposed consolidated market data remains reliable. See infra Section III.F.

891 See NYSE Letter II at 24; Data Boiler Letter I at 48; Data Boiler Letter II at 1.

892 See Cboe Letter at 25.

893 Id.

894 See NYSE Letter II at 24. Another commenter stated, "…if either of the SIPs experiences a systems issue affecting the quality or availability of market data, all market participants are affected equally by the issue. However, under the competing consolidator model, if one competing consolidator is impaired, it could severely disadvantage that competing consolidator's subscribers and their investor clients." FINRA Letter at 4.

895 See NYSE Letter II at 24.

model would improve the stability of the market data system for data consumers.[896] Another commenter said that there may be high-risk competing consolidators that enter the market (such as cheaper or slower competing consolidators) and their subscribers may not be able to avoid harm quickly enough if technological issues occur.[897] Another commenter said that competing consolidators would add technical complexity, which would reduce resilience.[898]

The Commission does not believe that competing consolidators will expose the national market system to an increased risk of failure[899] or propagate the risk of a single point of failure.[900] The Commission believes that the decentralized consolidation model will improve the resiliency of national market system by eliminating single points of failure that exist in the current system. Today, SIP data for Tapes A and B is only provided by the exclusive SIP for the CTA/CQ Plan and SIP data for Tape C is only provided by the exclusive SIP for the Nasdaq UTP Plan. These are single points of failure. In the decentralized consolidation model, there will be multiple entities—competing consolidators—collecting, consolidating, and disseminating consolidated market data products, which will enhance the resiliency of the national market system. Competing consolidators also will be subject to requirements that are designed to support their resiliency. For example, competing consolidators will be required to disclose publicly, on a monthly basis, their system availability.[901] This will encourage competing consolidators to invest in their systems to make sure that they have high rates of system "up-

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896 See id.

897 See Nasdaq Letter IV at 8, 35.

898 See TechNet Letter II at 2.

899 See Cboe Letter at 25; TechNet Letter II at 2.

900 See NYSE Letter II at 24; Data Boiler Letter I at 48.

901 See 17 CFR 242.614(d)(6) (Rule 614(d)(6)).

time." The monthly disclosures will help support systems resiliency by imposing competitive pressures on competing consolidators to ensure that their systems are resilient, as market participants can use the monthly disclosures to assess and compare the performance of a competing consolidator. Competing consolidators that cannot generate and disseminate consolidated market data products reliably likely will not attract or retain subscribers. Furthermore, competing consolidators will be subject to requirements that are designed to support their operational resiliency, including, as appropriate, Regulation SCI. The Commission is also adopting changes to Regulation SCI to help to ensure the integrity and resiliency of competing consolidators.[902] The Commission believes that it is important to impose requirements to help ensure that the technology systems of competing consolidators are reliable and resilient, consistent with the policy goals of Regulation SCI. These requirements are designed to address concerns that competing consolidators will become multiple points of failure in the decentralized consolidation model.

One commenter urged the Commission to issue standards for when a market participant would have to subscribe to multiple competing consolidators to mitigate the risk that its primary competing consolidator fails.[903] As noted above,[904] the Commission is not requiring market participants to have back-up competing consolidators, whether such market participants subscribe to SCI competing consolidators or competing consolidators that are not SCI entities, though some may choose to do so in light of their own business needs. The Commission believes that having multiple competing consolidators collect, consolidate, and disseminate

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902 See infra Section III.F.

903 See FINRA Letter at 4.

904 See supra text accompanying notes 756–757.

consolidated market data products would eliminate a single point of failure that would weaken the entire national market system because if one competing consolidator's operations experiences a failure, its impact on the markets will be minimized due to the presence of other competing consolidators that can perform the same functions.

3. Comments on Data Quality

Several commenters supported the introduction of competing consolidators because of the potential enhancements to the quality of consolidated market data.[905] Three commenters believed that competition would improve the quality of consolidated market data.[906]

However, three commenters questioned the proposal's impact on data quality, stating that the effects were uncertain and that competition could harm data quality and accuracy, including through attracting untested vendors who provide cheaper but potentially less reliable service.[907] One of these commenters stated that competing consolidators could produce varying NBBOs and cheap data products that would limit market information to non-self-aggregating market participants.[908] The commenter stated that the Commission will likely have to create additional regulations to set minimum standards ensuring the quality, availability, and accessibility of consolidated market data produced by competing consolidators.

The Commission believes that the definitions in Rule 600, as well as the registration and disclosure requirements of Rule 614, will help to ensure the data quality of consolidated market data. All competing consolidators will register with the Commission and become regulated

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905 See Committee on Capital Markets Regulation Letter at 3; RBC Letter at 5–6; State Street Letter at 3.

906 See Committee on Capital Markets Regulation Letter at 3; RBC Letter at 5–6; Susquehanna Letter at 1.

907 See TD Ameritrade Letter at 13; Nasdaq Letter IV at 4, 7, 35; STANY Letter II at 6.

908 See Nasdaq Letter IV at 26.

entities (if not already SROs) and will be required to generate consolidated market data products in a manner that is consistent with the definitions set forth in Rule 600.

Further, the Commission believes that competition in the decentralized consolidation model will also support high quality consolidated market data. Competing consolidators will be required to produce public monthly reports on their performance and other metrics, which should incentivize competing consolidators to perform at a high level in order to attract and maintain a subscriber base. A competing consolidator that does not produce accurate, high quality consolidated market data products would risk losing customers to other competing consolidators.[909]

4. Comments on Competing Consolidator Products

Commenters offered suggestions on the types of products to be sold by competing consolidators.[910] Two commenters suggested products that should be offered by competing consolidators.[911] One of the commenters said that competing consolidators should provide consolidated market data at no charge to a registered academic aggregator to act as an intermediary for the academic community.[912] The other commenter stated that competing consolidators should be required to sell a regulatory data-only feed at a fair and reasonable price (relative to the cost of that data as part of consolidated market data), and/or exchanges should be

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909 Competing consolidators would also be subject to Commission oversight under Rule 614. See infra Section III.C.7.

910 See Wharton Letter at 4; MFA Letter at 3, 9; McKay Letter at 11.

911 See Wharton Letter at 4; MFA Letter at 3, 9.

912 See Wharton Letter at 4.

allowed to sell a regulatory data proprietary market data feed.[913] One commenter requested clarification as to the ability of a competing consolidator to offer separate co-location offerings as part of its competitive services.[914]

The Commission is not requiring competing consolidators to offer reduced cost or free services, but competing consolidators could develop such products if they so desired. In addition to consolidated market data products, competing consolidators will be able to offer other products, such as academic products or regulatory data products. Further, the Operating Committee of the effective national market system plan(s) for NMS stocks could develop reduced fees for the data content underlying consolidated market data for the academic community or for regulatory data, or the exchanges could develop and propose, pursuant to Section 19(b) of the Exchange Act and Rule 19b-4 thereunder, similar products.

5. Comments on Selection of a Competing Consolidator

Several commenters raised questions concerning the selection of competing consolidators by broker-dealers.[915] The Commission believes that a broker-dealer will be responsible for selecting its competing consolidator(s) and will be required to perform its own due diligence to ensure that the competing consolidator(s) it chooses will be able to assist the broker-dealer in

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913 See MFA Letter at 3, 9.

914 See McKay Letter at 11.

915 See Healthy Markets Letter I at 4–5 (urging the Commission to establish objective standards for brokers regarding their selection and usage of competing consolidator feeds); FINRA Letter at 6 (stating that a broker-dealer's best execution obligations would prevent it from selecting a more advantageous source of market data for its proprietary activities than it uses for its clients); Fidelity Letter at 10 (suggesting that regulators examine why a broker-dealer would choose one competing consolidator over another).

meeting its regulatory obligations and its obligations to its customers, including best execution.[916]

One commenter sought clarification of a broker-dealer's responsibility for problems caused by its choice of competing consolidator.[917] This commenter asked if a broker-dealer could be held liable for its competing consolidator's systems issues if such issues negatively impact its customers. The commenter also suggested that the Commission provide guidance for broker-dealers that compliance with rules dependent on the availability of accurate market data be assessed based on the data provided by a broker-dealer's competing consolidator or received directly by a self-aggregator.[918]

Broker-dealers have obligations to their customers (e.g., a duty of best execution) as well as regulatory obligations (e.g., Rule 603(c), Rule 611, Regulation SHO). Broker-dealers need high quality data to satisfy their obligations. The choice of a competing consolidator will be relevant to a broker-dealer's receipt of market data and therefore, a broker-dealer should assess, both upon its initial selection and on an ongoing basis, the quality of data received from a competing consolidator. The Commission believes that the selection of a competing consolidator can impact a broker-dealer's services to its customers as well as the broker-dealer's ability to comply with its regulatory obligations, such as providing best execution for its customers.[919] Broker-dealers will need to conduct their own analysis and perform their own due diligence in choosing and periodically assessing competing consolidators that meet their regulatory needs and the needs of their customers.

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916 See supra Section I.E.

917 See FINRA Letter at 4–5.

918 See id. at 5–6.

919 See supra Section I.E.

6. Comments on a Standardized Consolidation Process

Two commenters recommended standardizing aspects of the operation of competing consolidators, including the consolidation process and the content and distribution mechanism, arguing that standardization could make it easier for subscribers to switch to other competing consolidators and provide consistency across data sets.[920]

The Commission is not standardizing the competing consolidator consolidation and dissemination processes. The Commission believes competing consolidators are in the best position to develop technical standards for themselves. Furthermore, the Commission believes that competing consolidators should have the flexibility to design the consolidation and delivery services that their subscribers need.[921]

7. Registration and Responsibilities of Competing Consolidators: Rule 614

The Commission proposed Rule 614 to require SIPs that wish to act as competing consolidators to register with the Commission and publicly disclose certain information about their organization, operations, and products. Under proposed Rule 614, competing consolidators would be subject to certain obligations and would be required to regularly publish certain performance statistics on a monthly basis on their respective websites.

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920 See BlackRock Letter at 5; MEMX Letter at 8. See also RBC Letter at 6 (suggesting that the Commission provide guidance on the minimum specifications for methods and processes of delivery for competing consolidators to avoid having multiple methods and processes, which could result in a tiered system of market data and reduced competition); MIAX Letter at 2 (suggesting that the Commission require all competing consolidators to utilize the same transport protocols (i.e., multicast) when transmitting data to market participants).

921 The Commission will monitor issues related to the implementation of the decentralized consolidation model, including whether standardization of the competing consolidator consolidation or dissemination processes would benefit market participants.

(a) Competing Consolidator Registration: Rule 614(a)

(i) Rule 614(a)(1)(i): Proposal

Proposed Rule 614(a)(1)(i) would prohibit any person, other than an SRO, from (A) receiving directly from a national securities exchange or national securities association information with respect to quotations for and transactions in NMS stocks; and (B) generating the proposed consolidated market data for dissemination to any person (i.e., acting as a competing consolidator by disseminating data to external parties) unless that person files with the Commission an initial Form CC and the initial Form CC has become effective pursuant to proposed Rule 614(a)(1)(v).[922]

(ii) Rule 614(a)(1)(i): Final Rule and Response to Comments

The Commission is revising proposed Rule 614(a)(1)(i) to address a comment relating to market data vendors, as discussed below. Rule 614(a)(1)(i)(A), as adopted, will provide: "No person other than a national securities exchange or a national securities association (A) may receive directly, *pursuant to an effective national market system plan*, from a national securities exchange or national securities association information with respect to quotations for and transactions in NMS stocks; and" (addition in italics). This new language is intended to clarify the entities that will be required to register as a competing consolidator.

The Commission requested comment on the proposed registration process, including whether competing consolidator registration should be subject to Commission approval and/or

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922 If a self-aggregator disseminated consolidated market data to any person, it would be acting as a competing consolidator and would be required to register pursuant to proposed Rule 614 and comply with the requirements applicable to competing consolidators.

additional or different regulation.[923] The Commission received several comments regarding proposed Rule 614(a)(1)(i). A few commenters described the proposed registration process as "onerous," "overly burdensome" and a "barrier to entry."[924] However, other commenters supported the registration process and urged regulating competing consolidators "with the same rigor and governance applied to the SIP plans today."[925]

While the registration of competing consolidators is a new regulatory process that will be required of entities that may not be regulated today, as discussed below, the registration process is necessary and does not unduly burden potential competing consolidators. While there are costs and burdens associated with the registration process,[926] the Commission believes that such costs and burdens are justified by the benefits of Commission oversight and the disclosure of competing consolidator operations for market participants. As discussed in the Proposing Release, the regulatory regime and responsibilities of competing consolidators are designed to collect relevant information about competing consolidators and to require competing consolidator performance data, data quality issues, and system issues to be made publicly available through a relatively streamlined process that imposes appropriate burdens on entities likely to register as competing consolidators. The Commission designed the competing consolidator registration process to provide the Commission with information necessary for it to

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923 See Proposing Release, 85 FR at 16778.

924 NYSE Letter at 14; ACTIV Financial Letter at 2–3; Nasdaq Letter II at 37.

925 WFE Letter at 1. See also MIAX Letter at 5.

926 See infra Section V.C.3.